

# Capitalism

## as economic organization

When exchange becomes the *dominant* way a society coordinates its economy, we call it capitalism. What that means sociologically, where it came from, and why there is more than one kind.

With **Weber**, **Marx**, **Habermas** & the “Varieties of Capitalism” school

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**Part 2 · Chapter 2** | What capitalism is (not) · Genesis & dynamics · Capitalism or capitalisms?

An expanded companion to the Chapter 2 lecture slides of the Economic Sociology part. Each section develops the slide bullet points into the fuller explanation, cases and reasoning normally delivered aloud in class — so the guide can be read and studied on its own. Continues directly from Chapter 1 (Economic Action & Institutions).

# What this chapter covers

Chapter 1 introduced **exchange** as one of three ways to coordinate an economy (alongside reciprocity and redistribution). Exchange is the backbone of the market — and when it grows into the *dominant* coordination mechanism of a whole economic system (a “market society”), some call the result **capitalism**. This chapter asks what capitalism actually is, how it arose, and whether there is one capitalism or several.

## 0. Orientation: from exchange to “market society”

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### 1. What capitalism is (and is not)

What it is *not*: a swear-word · greed · What it *is*: profit-oriented market exchange · an endogenous-but-constructed system

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### 2. Genesis & dynamics of capitalism

- 2.1 The West and the rest? (unicity vs. revisionism · the China case · the high-level equilibrium trap)
  - 2.2 Colonization of the life world (Habermas · commercial surrogacy · life world vs. system)
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### 3. Capitalism or capitalisms?

- 3.1 Weber's four types · 3.2 Varieties of capitalism: liberal vs. coordinated
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## 4. Glossary & self-test

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#### THE ONE-SENTENCE VERSION

Capitalism is not a moral verdict or “greed,” but **coordination through profit-oriented market exchange** in a system that is **endogenous yet constructed** (states built the markets). It arose in a particular time and place — the debate is *how* uniquely Western — it tends to **expand** into ever more of social life (Habermas's “colonization of the life world”), and it comes in **varieties** (Weber's four types; today's liberal vs. coordinated economies).

## 0. From exchange to “market society”

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This chapter builds directly on the last one. Recall the three ideal-typical coordination mechanisms: **exchange, reciprocity, redistribution**. Exchange — transactions in a market — is the **essential backbone of the market**.

### THE MOVE THIS CHAPTER MAKES

When market exchange stops being just *one* mechanism among three and becomes the **dominant coordination mechanism of an entire economic system** — a **market society** — some observers call that **capitalism**. The rest of the chapter is about pinning down what that word should (and shouldn't) mean, where the system came from, and how many kinds of it there are.

# 1. What capitalism is (and is not)

“Capitalism” carries heavy *emotional* baggage in everyday life that differs from a careful sociological definition. That baggage comes in two connected forms — a pejorative tone and an equation with greed — and clearing both away is the first job.

## What capitalism is *not*

### 1 · A term of abuse (the pejorative connotation)

In daily speech “capitalism” is often a **negative verdict** — the word of choice for Marxists and the anti-globalisation movement, set against a supposedly neutral “free market.” But this is unstable: **neoliberals** happily use “capitalism” as a positive badge too. Because the same word swings between insult and compliment, social science must treat it as **value-free as possible** — a category of analysis, not a cheer or a boo.

### 2 · Greed

A second popular image: capitalism as a system where **greed dominates all social relations**. Oliver Stone's *Wall Street* films made stockbroking and corporate raiding into icons of capitalist greed — and total submission to it. Some defenders of capitalism even argue for the *ethical value* of greed, reinforcing the impression.

*“Greed is good.” (1987) → “Now it seems it's legal.” (2010)*

— Gordon Gekko, *Wall Street* & *Wall Street: Money Never Sleeps*

#### WHY “GREED” FAILS AS A DEFINITION

Greed is **far too common** to pick capitalism out: it appears in plenty of pre-, non- and quasi-capitalist systems (classical Rome, the Middle Ages). What is *distinctively* capitalist is not greed itself but its **own regulation of the legitimacy of greed** — *which* wealth gets honoured.

- **Under capitalism:** more prestige for wealth won through *market transactions* (profit); *less* for merely inherited wealth.
- **Pre-capitalist societies:** the *inverse* status ordering — inherited, landed wealth ranks highest, “trade” is faintly vulgar. Think of the landed gentry of 19th-century England (Jane Austen's world), where living off rents outranks earning a profit.

## What capitalism is

So if it's neither a swear-word nor greed, what is it? The sociological definition has **two distinguishing features**:

### DEFINITION

Capitalism is **1** an **endogenous but constructed system** of **2** **coordination through exchange on the market with durable profit acquisition as the central motivator**.

We take the two elements in *reverse* order — the second (profit-oriented exchange) first, because it is the more concrete.

### Element 2 · Market exchange oriented toward profit

This is Polanyi's **exchange** type (as opposed to reciprocity and redistribution) — but now specifically harnessed to the *durable* pursuit of profit. Two things travel with it as **logical (and probably necessary) conditions**:

#### Protected property rights i

Property is protected by an **authority** — the state — whose enforcement makes using your *own* means of force redundant. You don't need private muscle to hold what's yours; law and the state do it. This is what makes calm, large-scale market exchange possible.

#### Profit-seeking firms ii

Companies that **systematically pursue profit**. Note the careful wording: the *goal* is profit — but that goal is **not necessarily achieved**. Capitalism is defined by the orientation, not by guaranteed success.

### Element 1 · An endogenous but constructed system

The subtler feature — and a genuine **paradox**, captured by the image of the *Sorcerer's Apprentice* (a force conjured up by people that then runs beyond their control). Capitalism is both at once:

#### Endogenous — its own runaway dynamic

A complex system with a **dynamic of its own that exceeds the understanding of its actors** (cf. Marx). No one is fully “driving”; the system has emergent momentum.

#### Constructed — made and maintained by actors

Yet its emergence and reproduction **depend on deliberate intervention** by actors — especially *political and intellectual elites*.

#### THE KEY CORRECTIVE

Capitalism did **not** arise from simply “leaving markets alone.” It **depended on the intentional intervention of (early) states in the construction of markets** — coining money, enforcing contracts, chartering companies, standardising weights. **Laissez-faire** is best understood not as capitalism's natural condition but as its *ideological base* — a story the system tells about itself. Markets were made, not found.

## 2. Genesis & dynamics of capitalism

Two propositions describe how capitalist economic organisation *expands* — one across space, one within society:

1. **The thesis of unicity** — capitalism developed in the West and *spread outward* geographically to the rest of the world (§2.1).
2. **The thesis of the colonization of the life world** — the logic of capitalism reaches into *ever more areas of social life* than just the economy (§2.2).

### 2.1 The West and the rest?

The **classical thesis of unicity** holds that capitalism developed in the West (Europe) — and *only* there. Yet this sits awkwardly with an inconvenient fact: technologically, the West actually **lagged behind** India, the Middle East and China until roughly the 16th–17th century. Taking China as the case, the debate becomes: did China also develop (elements of) capitalism?

Two positions

| Position                 | Claim                                                                                 |
|--------------------------|---------------------------------------------------------------------------------------|
| <b>Thesis of unicity</b> | <b>No</b> — only the West developed capitalism.                                       |
| <b>Revisionism</b>       | <b>Yes</b> — the emergence was <i>multipolar</i> ; China had capitalist elements too. |

#### CONSENSUS · CHINA'S HEAD START (UNTIL THE MING, LATE 13TH C.)

Both sides agree China led for a long time. Elements of that lead:

- **Printing** — 9th century (the West: only the 15th!)
- **Gunpowder**
- **Compass and mechanical clocks**
- **Admiral Zheng He's naval expeditions** (1405–33): seven voyages, large-scale, far-reaching and effective — hundreds of ships and crews running into the tens of thousands.

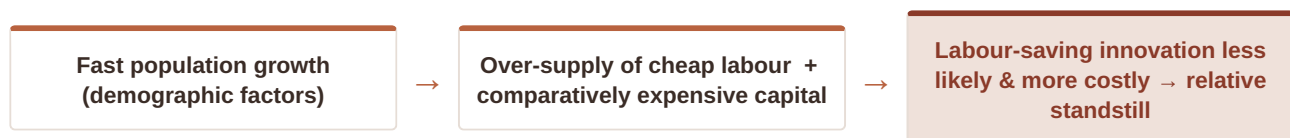
The **unicity** reading: from then on China *stood still*, for essentially **cultural** reasons (a self-satisfied “triumphalism,” a turn inward), and the West took over — using gunpowder, via further innovation, to build the military and hence trade supremacy that carried capitalism. **Revisionism** attacks this on two fronts:

### Revisionist argument 1 · The gap is much more recent

The divergence only really opened **after 1800**. Until Western industrialisation, China **kept pace** with the West in *marketisation* and *monetisation*. What China lacked came late and specific: **mechanisation and central workplaces** — the factory, and the industrialisation it drove.

### Revisionist argument 2 · Ecological, not cultural, causes — the “high-level equilibrium trap”

The relative standstill wasn't about culture but about a **disadvantageous population-to-land ratio**. The causal chain:



When labour is dirt cheap and capital dear, there is little incentive to invent machines that *save* labour. China was, in effect, trapped at a high level of pre-industrial development — efficient, but with the wrong price signals to industrialise. Not a cultural failing; an ecological-economic bind.

## 2.2 Colonization of the life world

“Expansion” in §2.1 meant a *geographical* variable — how much territory and how many people are drawn in. But expansion can also happen **within a single society**, as the market logic reaches into domains that used to lie outside it. Two underlying ideas:

1. **Incorporating ever more areas of society into capitalist logic** — e.g. the *commercialisation of reproduction* (commercial surrogacy; the case of Gujarat, India).
2. **Markets emerging out of markets** — e.g. financial markets in *stocks and derivatives* (markets built on top of other markets).

#### CASE · COMMERCIAL SURROGACY IN ANAND, INDIA

A clinic in Anand lets **poor rural women “rent” themselves as surrogate mothers**. Middle-class prospective parents (Indian and foreign) effectively **“order” a baby**; usually the biological father is the male partner, sometimes both partners contribute (via IVF). The surrogates **remain in the clinic for the whole pregnancy**, and the baby is **handed over immediately at birth**. It is an extreme — and probably growing — case of the **commercialisation of intimate life**.

Jürgen **Habermas** names this kind of expansion the **colonization of the life world**. His framework rests on a distinction between two types of social action, and two corresponding spheres:



## COMMUNICATIVE ACTION

### The Life World

- Action aimed at **mutual understanding**, not an external goal
- Private life *and* the community as *civitas* (politics in the pure sense)
- Produces **identity, belonging, community** — the *symbolic* existence of humans
- Governed by **truth & truthfulness**

## STRATEGIC (INSTRUMENTAL-RATIONAL) ACTION

### The System

- Action aimed at an **external goal** (convince, sell)
- **Material** existence — including the economy
- Governed by **efficiency & effectiveness**, not truth
- Efficiency typically expressed through **monetised currency**

**COLONIZATION** → the **SYSTEM's** money/efficiency criteria invade and re-value the **LIFE WORLD**

The **problem** arises when relationships and values that *used to* belong to the life world get **valued according to system criteria** (money, efficiency). That intrusion is what Habermas calls colonization — the system colonising the life world.

### IS THE IMAGE VALID? TWO CAVEATS

1. **It's not a one-way, generalised march.** Some things that *were* commodities before capitalism are **strongly tabooed** in capitalist societies — slaves, acquiring partners through dowries, buying government positions. In these areas the market actually *retreated*.
2. **The life world has always expressed value in economic terms too** — the engagement ring, gifts. Money and intimacy were never hermetically sealed. So the boundary shifts both ways, and was never pure.

### 3. Capitalism or capitalisms?

Is capitalism one thing, or should we distinguish several *types*? This has always been debated. We look at two typologies — a classical one (Max Weber) and a recent one (“Varieties of Capitalism”).

#### 3.1 Weber's typology — four types

Weber distinguished four types, with a certain **evolutionary logic** running toward the fourth as the most mature form — a *historical* approach.

Weber's four types of capitalism (1 → 4: increasing maturity)

| Type                   | What it is                                                                                                                                                                                                                                        |
|------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>1 • Traditional</b> | Concentrated on <b>trade</b> and a limited amount of <b>banking</b> (e.g. credit). Think of pockets of capitalist life in medieval towns — <i>islands of market functioning in a sea of self-sufficient (autarkic) agricultural communities</i> . |
| <b>2 • Political</b>   | Political events and processes open access to <b>large, often one-shot profit opportunities</b> . Cases: colonialism, monopolies granted by the king.                                                                                             |
| <b>3 • Adventurer</b>  | <b>Swift, random, exceptional</b> profit opportunities. Type 2 is a <i>subset</i> of this. Pure forms: plundering/predatory economies — extortion, piracy.                                                                                        |
| <b>4 • Rational</b>    | The type set out in “what capitalism is” — the <b>most mature</b> form (durable, calculated profit through market exchange). In practice it often still mixes with elements of types 1–3.                                                         |

#### 3.2 Varieties of capitalism — liberal vs. coordinated

A more recent theory (the “**Varieties of Capitalism**” school, c. 2001) sets out to **compare existing contemporary systems** across countries — a *comparative* rather than historical approach. It rests on three starting points:

- Firms and their coordination problems are central** — chiefly: how do companies handle problems of *asymmetric information* and *control*? Other actors (employees, financiers) face the same. There are two solution styles → see the table.
- Institutional complementarities** — choosing a solution in one domain makes it *more profitable* (lower learning/coordination cost) to use the same style in another domain. So the pieces line up into coherent regimes.
- Comparative institutional advantages** — both regimes survive because each has its *own* strengths (especially different effects on innovation), preserved over time.

## The two ideal-typical regimes

| Dimension                                  | Liberal market economy                                                                              | Coordinated market economy                                                                     |
|--------------------------------------------|-----------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------|
| <b>Coordination style</b>                  | Outsourcing to the <b>market</b> , flexibly                                                         | Mutual <b>long-term agreements</b> & cooperation                                               |
| <b>Skills &amp; schooling (example)</b>    | General, portable skills; hire & fire on the market                                                 | Firm/industry-specific skills built through stable relationships                               |
| <b>Labour &amp; capital markets</b>        | Both <b>market-oriented &amp; flexible</b> (complementary)                                          | Both <b>stable &amp; long-term</b> (complementary)                                             |
| <b>Typical countries</b>                   | Mainly <b>Anglo-Saxon</b>                                                                           | <b>Scandinavian, continental-European, Japan</b>                                               |
| <b>Comparative advantage in innovation</b> | <b>Radical</b> innovation (e.g. the PC, the internet) — via flexible use of human capital & finance | <b>Incremental</b> innovation — via stable, long-term relationships in human capital & finance |

### THE PAY-OFF

There isn't a single “best” capitalism converging on one model. The two regimes **persist side by side** because their institutions are internally consistent (complementarity) and each is genuinely better at something (comparative advantage) — the liberal at radical breakthroughs, the coordinated at steady refinement. “Capitalism” is therefore better written in the plural: **capitalisms**.

## 4. Glossary & self-test

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### Key terms

|                                           |                                                                                                                                                                |
|-------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Market society</b>                     | An economic system in which market exchange has become the <i>dominant</i> coordination mechanism — the setting some call capitalism.                          |
| <b>Capitalism (definition)</b>            | An endogenous-but-constructed system of coordination through profit-oriented market exchange.                                                                  |
| <b>Legitimacy of greed</b>                | What is distinctively capitalist: honouring wealth from market profit over inherited wealth (pre-capitalist societies rank these inversely).                   |
| <b>Endogenous but constructed</b>         | Capitalism's paradox (the Sorcerer's Apprentice): a system with a runaway dynamic (Marx) that nonetheless had to be built and maintained by states and elites. |
| <b>Laissez-faire</b>                      | Not capitalism's natural state but its <i>ideological</i> self-image; in fact states actively constructed markets.                                             |
| <b>Thesis of unicity</b>                  | Capitalism arose only in the West and spread outward.                                                                                                          |
| <b>Revisionism</b>                        | The counter-view: capitalist elements emerged multipolar (incl. China); the West/China gap is post-1800 and ecological, not cultural.                          |
| <b>High-level equilibrium trap</b>        | China's standstill explained by a bad population-land ratio: cheap labour + dear capital → little incentive for labour-saving innovation.                      |
| <b>Colonization of the life world</b>     | Habermas: the intrusion of system criteria (money, efficiency) into domains once governed by communicative action.                                             |
| <b>Communicative vs. strategic action</b> | Action aimed at mutual understanding (life world) vs. action aimed at an external goal (system).                                                               |
| <b>Life world / System</b>                | Symbolic existence (identity, belonging; truth) vs. material existence (economy; efficiency).                                                                  |
| <b>Weber's four types</b>                 | Traditional, political, adventurer, rational — increasing maturity toward rational capitalism.                                                                 |
| <b>Varieties of Capitalism</b>            | Comparative theory (c. 2001) distinguishing liberal from coordinated market economies.                                                                         |
| <b>Institutional complementarity</b>      | Using the same coordination style across domains (labour, capital) is mutually reinforcing — producing coherent regimes.                                       |

## Test yourself

### CHECK YOUR UNDERSTANDING

- How does exchange become “capitalism”? What is a market society?
- Why must social science treat “capitalism” as value-free — and why is “greed” a poor definition?
- What is *distinctively* capitalist about how greed/wealth is regulated? Contrast it with the 19th-century landed gentry.
- State the two-part definition of capitalism. What are the two necessary conditions of profit-oriented exchange?
- Explain “endogenous but constructed” via the Sorcerer's Apprentice. Why is laissez-faire an *ideology*, not a description?
- State the two theses about capitalism's expansion (unicity; colonization of the life world).
- List the elements of China's head start. How do the two revisionist arguments challenge the unicity thesis?
- Explain the high-level equilibrium trap. Why do cheap labour and dear capital discourage innovation?
- Using the surrogacy case, explain Habermas's life world vs. system and what “colonization” means.
- Give the two caveats to the colonization thesis.
- Name and illustrate Weber's four types. Which is most “mature,” and why is the ordering evolutionary?
- Contrast liberal and coordinated market economies on coordination, skills, and innovation. Why do both survive?

#### FIVE THINGS TO REMEMBER

1. **Capitalism  $\neq$  a swear-word or greed.** It's profit-oriented market exchange become the dominant coordination mechanism.
2. **Markets were made, not found:** capitalism is endogenous (runaway dynamic) *and* constructed (states built the markets; laissez-faire is ideology).
3. **Expansion runs two ways:** outward geographically (the West-and-the-rest debate) and inward into social life (colonization of the life world).
4. **The West's lead is recent & contingent** — China led for centuries; the post-1800 gap owes more to ecology (the high-level equilibrium trap) than culture.
5. **There are capitalisms, plural:** Weber's four historical types, and today's liberal (radical innovation) vs. coordinated (incremental innovation) economies.

Expanded study guide based on the Chapter 2 lecture slides of the Economic Sociology part ("Capitalism as economic organization"), drawing on Weber, Marx, Habermas and the Varieties-of-Capitalism literature. Diagrams, tables and self-test questions added for study; the terse slide points developed into the fuller explanation normally given in class. Continues from Chapter 1 (Economic Action & Institutions).